

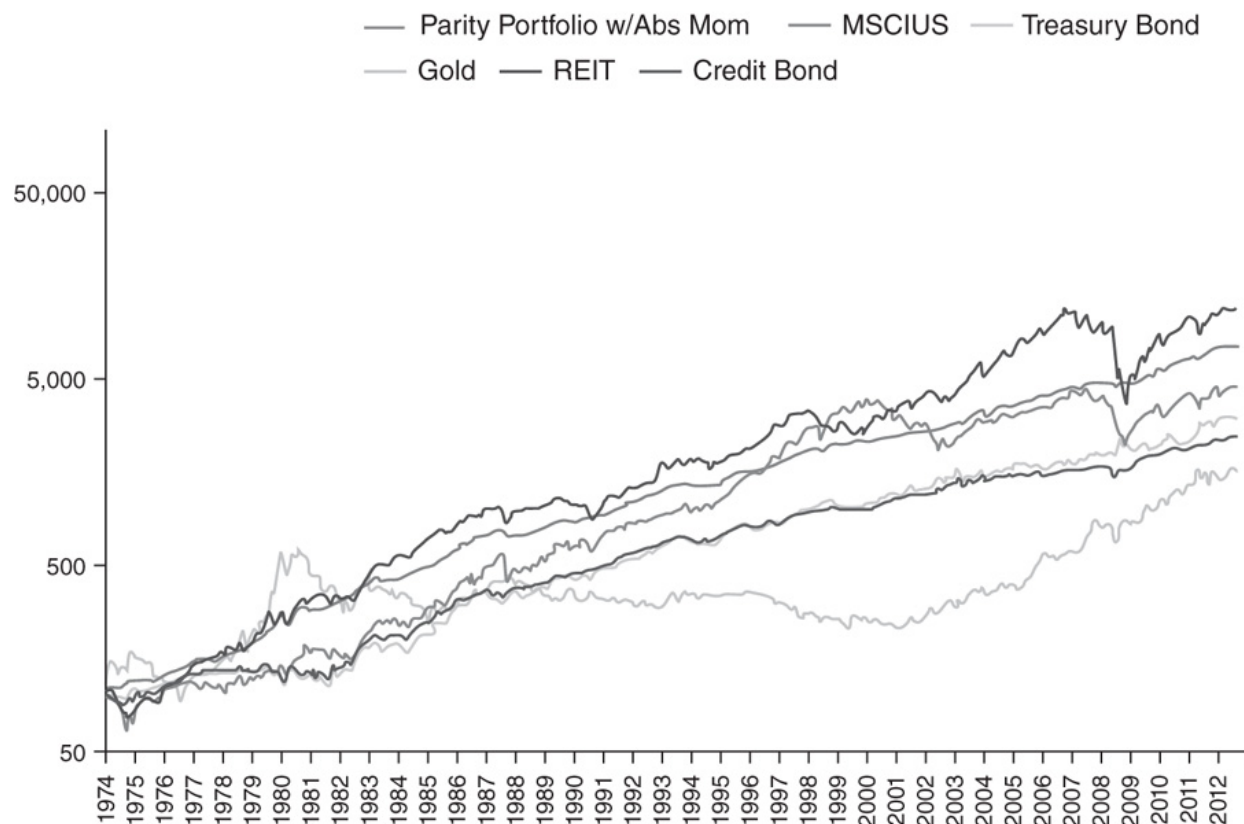


Figure B.17 Parity Portfolio Versus Components, 1974–2012

Figure B.18 is a box plot showing quartile ranges of rolling 12-month portfolio returns. Figure B.19 shows the difference in monthly returns between the parity portfolios with and without 12-month absolute momentum. There was some increased volatility in 2008–2009. However, the plotted trend line shows the average return differences remained constant over time.